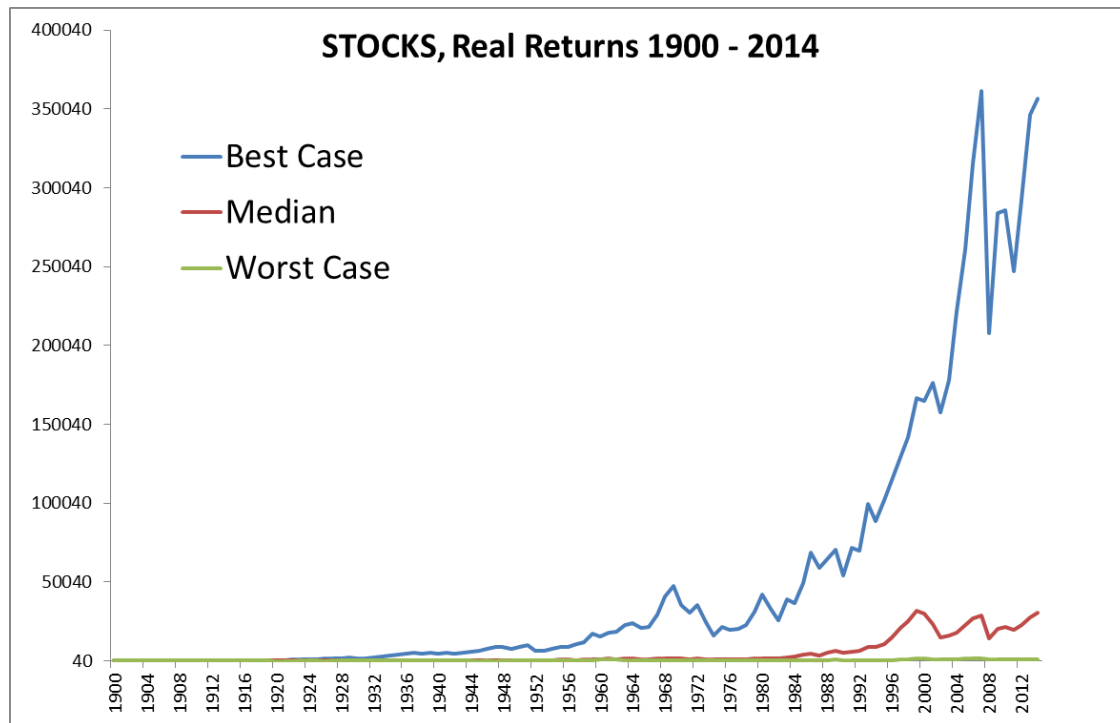


you can now distinguish between unscrupulous money managers advertising their services with the below style of chart which can be misleading, as the gains look much more dramatic.

FIGURE 7a—Stocks Real Returns, 1900-2014, Non-log Axis



Source: Morningstar, Elroy Dimson, Paul Marsh, Mike Staunton, *Triumph of the Optimists*, Princeton University Press, 2002, Credit Suisse Global Investment Returns Sourcebook 2015

Let's look at the entire series across all countries to visualize some of the best and worst-case scenarios. It looks like a simple conservative rule of thumb may be to expect stocks to return around 4% to 5%, bonds 1% to 2%, and bills basically zero. Note that the United States had one of the best performing equity and bond markets for the 20th Century.